JATHNIER CORPORATION
RUBY ST., RGA VILLAGE, DACUDAO,
DAVAO CITY, PHILIPPINES.
(082) 282 2439

MEMORANDUM

March 09, 2023 **FA-2023-0309-0023**

TO: **ALL DEPARTMENTS**

FR: **GABRIEL L. CUAYCONG/GM – FINANCE & ADMIN DEPARTMENT**

Cc: **DLC/MGC/Audit/HRD/File**

Re: **JATHNIER CORPORATION STANDARD POLICY ON ACCOUNTING RECOGNITION OF ACCOUNTS PAYABLE, DOCUMENTATION AND CUT OFFS.**

Our corporate direction in business year 2023 is to review and align all our business processes and its existing Internal Controls therein. In view of this, it is imperative to strengthen the implementation of company's Corporate Policies and Procedures in controlling and tracking all its business transaction documents from its source going to Finance & Administration Department up to our Archiving System.

INTERNAL CONTROLS

An internal control is a procedure or policy put in place by management to safeguard assets, promote accountability, increase efficiency, and stop fraudulent behavior.

Source of Transactions:

1. **ROSEBAKESHOP BRANCHES (Branch Operations Department)**
2. **RBS BAKING CENTERS (Production Department)**
3. **PRE MIXES SECTION (Production Department)**
4. **STUFFED INGREDIENTS SECTION (Production Department)**
5. **FROZEN DOUGH SECTION (Production Department)**
6. **WAREHOUSE SECTION – (SCM Department)**
7. **LOGISTICS SECTION – (SCM Department)**
8. **PURCHASING SECTION – (SCM Department)**
9. **OTHER COST CENTERS**
   - 9.1. Finance & Administration Department
   - 9.2. Human Resource Department
   - 9.3. Audit/MIS IT Department
   - 9.4. Compliance & Mandatories Department

Definition:

SALES/CHARGE INVOICE – A sales invoice is a principal document to record a sale or shipment made by a vendor to a customer that typically lists the customer's name, items sold or shipped, sales price, and terms of the sale. In other words, it's an itemized statement the reports the details of a sale for the buyer and seller's records.

Vendors (Suppliers) usually refer to an invoice as a sales or charge invoice because it records the sale made to the customer. Customers (Rosebakeshop), on the other hand, refer to this as a purchase invoice because it records the goods that were bought from the seller.

Invoices are also used as bills that indicate the buyer owes money to the seller for a purchase transaction. Businesses that sell goods on account to customers often give them terms to pay for the goods.

As a rule under Section 237 of the Tax Code of the Philippines.... "The original of each receipt or invoice shall be issued to the purchaser, customer or client at the time the transaction is effected."..
Transactions with VAT made under this document can be applied to claim INPUT VAT by the buyer.

RECEIVING & INSPECTION REPORT (RIR) – Is a standard receiving report form use by Rosebakeshop as part of its Internal Control to ensure implementation of standard receiving procedure on its **Rosebakeshop branches.**

MATERIAL RECEIVING COUNT SHEET (MRCS) – Is a standard receiving report form use by Rosebakeshop as part of its Internal Control to ensure implementation of standard receiving procedure on its **Rosebakeshop branches & Main Warehouse.**

CORPORATE POLICY AND GUIDELINES ON THE FOLLOWING:

1) **ACCOUNTING RECOGNITION OF ACCOUNTS PAYABLE.**
2) **PROCESSING LEAD TIME.**
3) **PROPER DOCUMENTATION.**
4) **TRANSACTION PROCESS FLOW.** ***(see attached AP Recognition Process Flow Chart).***

SOURCE DEPARTMENTS PROCESS FLOW:

1. From source departments. All deliveries from external suppliers must follow standard receiving procedure and documentations.
2. RBS Receiving personnel must check & match incoming delivery items and completeness of documentations.
3. Complete documentation as follows:
   3.1. Hard copy attached of Purchase Order, complete data and signatures.
   3.2. Aside from the PO hard copy attached, Supplier's Sales or Charge Invoice must reflect the PO reference and match the data of the purchase order in terms of quantity, unit of measure, price, terms and discounts if any...
4. RBS Receiving personnel must ensure quality & specifications of the items delivered are match with Purchase Order and Suppliers Invoice before affixing complete name, date and signature on the receiving part of the Supplier's Invoice.
5. RBS receiving personnel must ensure that all suppliers invoice from original copy up to its duplicates are properly acknowledged and signed.
6. RBS receiving personnel must ensure all corrections in the deliveries are properly & legibly reflected on all copies of the supplier's invoice in particular the ORIGINAL copy or customer's copy fully signed and acknowledged by RBS receiving personnel and suppliers delivery representative.
7. Part of RBS internal control, after acknowledging the supplier's deliveries, RBS receiving personnel must accomplish RBS Receiving & Inspection Report (RIR) for branches; Material Receiving & Count Sheet (MRCS) for RBS Main Warehouse. Reflecting the exact & actual data balances of the items delivered and items actual received, in terms of specifications, quantity and unit of measure reflected on the suppliers invoice including any corrections reflected therein. RBS designated receiving personnel must affix name, signature and date at the "Received by:" part of the RIR or MRCS.
8. RBS receiving departments must transmit all delivery received invoices from suppliers and pertinent attachments (Original Invoice copy with PO copy & RIR or MRCS) together with other branch/department reports as per schedule to Finance & Administration Department Document Controller. Transmittals & record logbooks are required on this transfer documents activity as per policy.

FINANCE & ADMINISTRATION DEPARTMENT PROCESS FLOW:

1. Finance & Administration Document Controller, upon receipt of all incoming source departments document reports must review received documents as per attached transmittal. Check completeness of documents and attachments. Record to received logbook and make ready for distribution to designated departments or sections. Transmittal logbook is required on this activity by the Document Controller.
2. Check timeliness & completeness of reports & documents as per standard schedule. Coordinate with source departments head any incomplete documents and late submissions. Once set of reports is complete. Within **24 hours** from receipt, transmit to Cost & Inventory Management Department (Inventory/Production Reports & attachments, Original Invoices, PO & Receiving reports) and HRD related documents (IRs & others..). The following distribution of documents follows:
   2.1. Cost Analyst Section – Original Invoice, PO & RIR/MRCS of LPG & Flour items.
   2.2. Inventory Analyst Section – Original Invoice, PO & RIR/MRCS of Coke, Ice Cream & Wilkins items.
3. Cost & Inventory Management Department upon receipt of the invoices and attachments must review and validate veracity of reflected data therein and implement administrative procedure on any infractions that affects integrity of the documents.
4. Upon final review and conclusion, Cost & Inventory Management Department personnel will affix complete name, signature and date to the RIR/MRCS as "VERIFIED BY:" and transmit back to Finance Document Controller within **2 days or 48 hours** upon receipt.
5. Document Controller records and transmit to designated Accounts Payable Staff all invoices & verified attach PO & RIR/MRCS within **24 hours** upon receipt of documents.
6. Upon receipt of documents, Accounts Payable Staff will follow ACCRUAL & proper sequence of **"ENTER BILLING"** posting procedure to QBe system. Accounts Payable Staff **have 2 days or 48 hours** to Post & Update AP recognition and aging at QBe System. Transmit to AP Head **everyday** all posted transactions.
7. AP Head must set Accrual Method Current Posting & recognition of Accounts Payable. Agreed target lead time with Treasury Section is **one (1) week lead time** of submitted enter billed accounts will be processed for Pay Bill and fund allocation.

ACCOUNTING PROCESS LEAD TIME

UPON RECEIPT OF DOCS FROM SOURCE DEPARTMENTS AND DISTRIBUTION TO COST & INVENTORY MGT DEPARTMENT BY DOCUMENT CONTROLLER	COST & INVENTORY MGT DEPARTMENT WILL CHECK & VERIFY DOCUMENTS, RECONCILE AND INITIATE ADMINISTRATIVE ACTION	RETURN TO DOCUMENT CONTROLLER AND DISTRIBUTION TO ASSIGNED ACCOUNTS PAYABLE STAFF FOR POSTING (ENTER BILLING)	REVIEW OF AP HEAD ALL ENTER BILLED TRANSACTIONS AS TO VERACITY OF DOCUMENTS & ACCTG TRANSACTION RECORD	FORWARD TO TREASURY FOR FUNDING (VARIABLE) & POSTING ON PAY BILL (VOUCHER & CHECK WRITE)	REVIEW OF AP HEAD ALL PAY BILLED TRANSACTIONS & PREPARED CHECKS. TRANSMIT DOCS & CHECKS FOR SIGNATURE & RELEASING BY TREASURY	TOTAL LEAD TIME
1 DAY	2 DAYS	2 DAYS	1 DAY	2 DAYS	2 DAYS	10 DAYS

ACCOUNTING REPORTS/DOCUMENTS RECORDING CUT OFF

MONTHLY ACCOUNTS POSTING CUT OFF	PREVIOUS MONTH REMAINING TRANSACTION DOCUMENTS TO BE SUBMITTED TO ACCOUNTING	COVERING PERIOD (MONTH)
EVERY 5TH DAY OF THE CURRENT MONTH	SUPPLIER'S DELIVERY SALES INVOICES WITH COMPLETE ATTACHMENTS; SUCH US PURCHASE ORDER (PO), RECEIVING & INSPECTION REPORT (RIR) AND MATERIAL RECEIVING COUNT SHEET (MRCS).	PREVIOUS MONTH ONLY. PRIOR MONTHS & BEYOND REPORTS ARE SUBJECT FOR ADMINISTRATIVE ACTION.
EVERY 5TH DAY OF THE CURRENT MONTH	DAILY SALES COLLECTION REPORT (DSCR) WITH ATTACHED DEPOSIT SLIP	PREVIOUS MONTH ONLY. PRIOR MONTHS & BEYOND REPORTS ARE SUBJECT FOR ADMINISTRATIVE ACTION.
EVERY 5TH DAY OF THE CURRENT MONTH	PETTY CASH LIQUIDATION REPORT (PCLR) AND REVOLVING FUND LIQUIDATION REPORT (RFLR).	PREVIOUS MONTH ONLY. PRIOR MONTHS & BEYOND REPORTS ARE SUBJECT FOR ADMINISTRATIVE ACTION.

Example:

April 05, 2023 Cut Off	**Month of March 2023 remaining Documents to be submitted.**	**Previous months are February & January 2023 transactions. This are late submission already subject for administrative action.**

Deviation of these Policy & Procedure is considered an infraction under the Company Code of Discipline. Strict compliance is required for this Policies & Guidelines, effective **March 15, 2023**. Any clarification on this matter please communicate accordingly.

Noted:

Gabriel L. Cuaycong
F & A Manager/RBS-JC

Melina G. Comedido
VP/Operations Director-JC

Attested by:

Meraflor Cariquitan
Asst. Operations Manager

03/3/2023
Maryjane Sabejon
Regional Operations Manager

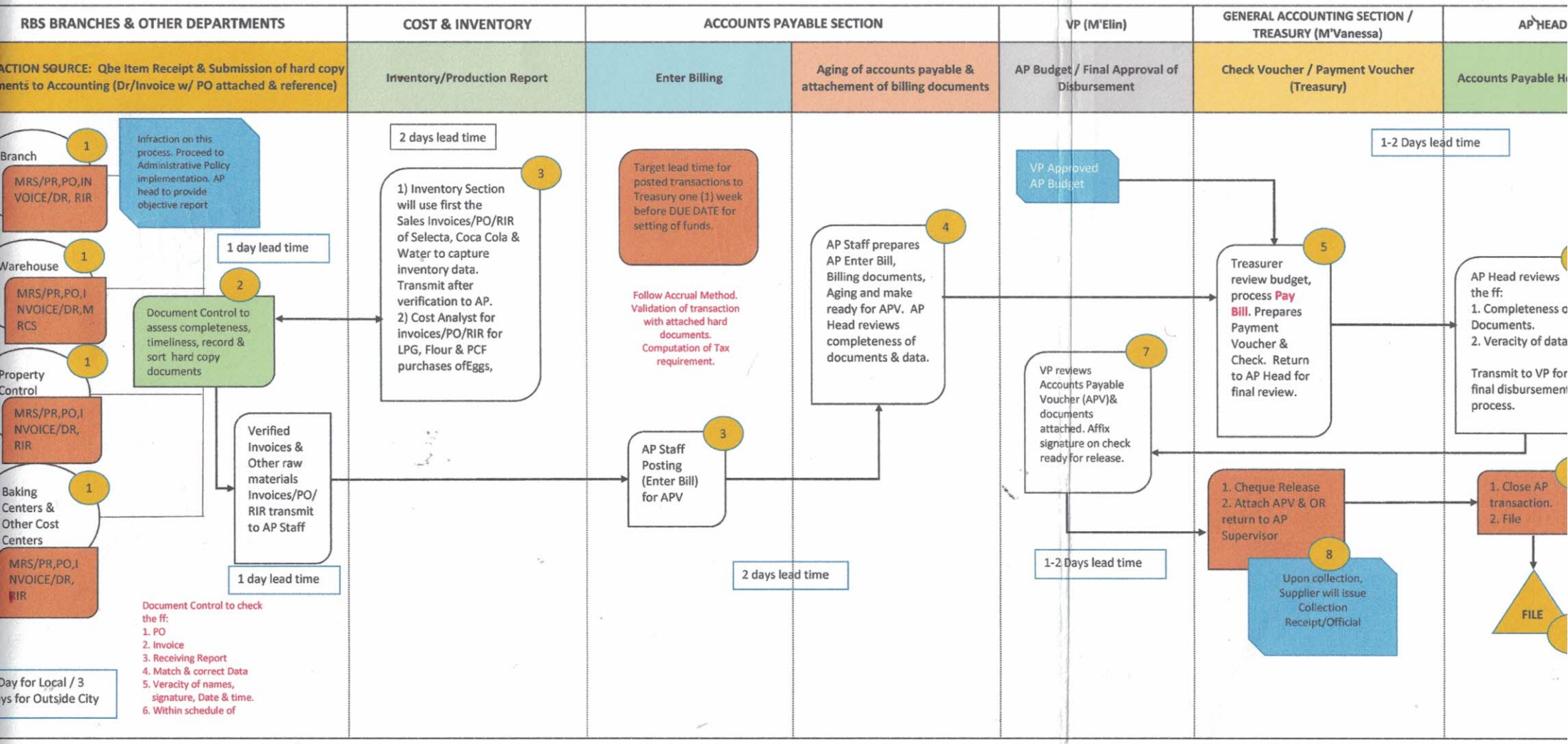
Riva Jean Taganait
Cost & Inventory Mgt Head

Kristine Munda
Supply Chain Management Head
03.13.23

3-13-23
Girlie Lorenzo
F & A – Accounts Payable Head

Sisafiel Aparicio
Procurement Head

Qbe Accounts Payable Work Process Flow 2023: Memo# IA-01-100622; # APD 2023-01-001



03/10/2023

DAVAO BAKERS CHOICE ENTERPRISES, INC.

B Gempesaw St 8000 Davao City Davao Del Sur Philippines • VAT Reg. TIN 006-174-721-00000
Tel. Nos. (082) 227-8652 • 227-5192 • 226-4984 • 226-4033 • 226-4288 • 221-0515 • 221-0517
Wholesaler of Rice • Wholesaler / Distributor / Dealer of General Mdse.

CHARGE INVOICE

NO. 29005

CHARGED TO: National Corporation (PATC-NSA) Date: 2-02-2023
TIN: 206-004-421-077 Bus. Style: Proprietorship Terms: 45 days
Address: Corner PATC-NSA St. Buhangin Davao City 8000
OSCA/PWD ID No. C Cardholder's Signature:

QTY.	UNIT	DESCRIPTION	UNIT PRICE	AMOUNT
210	bags	15K	1.055	

NO ADJUSTMENT 2/13/23

		Total Sales (VAT Inclusive)	
		Less: VAT	
VATable Sales		Amt.: Net of VAT	28,258.93
VAT-Exempt Sales		Less: SC/PWD Disc.	
Zero Rated Sales		Amount Due	
VAT Amount		Add: VAT	3,391.07
		TOTAL AMOUNT DUE	31,650-

Payable upon presentation of bills, otherwise previously arranged, interest at twelve percent (12%) per annum will be charged on all accounts after thirty (30) days. In case of law suit, an additional sum equal to twenty-five percent (25%) of the amount unpaid for attorney's fee's and cost of collection will be charged. Parties expressly submit themselves to the jurisdiction of the courts of Davao City on any legal action that may arise out of this transaction.

100 Bkits (3x) 25001 - 30000
OCN 132AU20210000000802
Date of ATP: 08-17-2021
Expiry Date: 08-16-2026

NEW JET MARK PRINTING PRESS
Feonita Bldg. J. de la Cruz St.,
Poblacion District Davao City
TIN: 100-086-104-00000
Accreditation No. 113MP20180000000009
Date Issued: 09-06-2018 Until Valid: 09-06-2023

NJM 170230

"THIS CHARGE INVOICE SHALL BE VALID FOR FIVE (5) YEARS FROM THE DATE OF ATP"

DAVAO BAKERS CHOICE ENTERPRISES, INC.

NENAE B. QUINANO
Authorized Signature

W/P-0 ATTACHMENT

Pay-esa 02-3-23
Customer's Signature

SAMPLE

ROSE BAKESHOP
JATHNIER CORPORATION

Control No. 02-064

Material Receiving Count Sheet

Date: 2-21-23
PO No. PLS22023
PR. No

DR No.
SI/CI No. 031683

SUPPLIER: P.L. SEBASTIAN CORPORATION

Item	No. of Box/Pack/Sack	No. of Pieces/Kilo per Box/Pack/Sack	Total No. of Pieces/Kilo	Remarks
CHEESE	20 box	6 bar per box	120 bar	NOV. 21, 2023
BUTTERCUP	20 box	48 bar per box	960 bar	SEP. 25, 2023

Received by: JEANO ABAO

Attested by:

Reviewed by: Engr. Legaspi 02.21.23
Warehouse Supervisor

SAMPLE

ROSE BAKESHOP & SNACK INN

RECEIVING AND INSPECTION REPORT

№ 0059944 A

RECEIVED FROM DAVAO BAKERS CHOICE ENTERPRISES INC.

SUPPLIER'S INVOICE 29267 Date: 3-2-23

QTY.	UNIT	DESCRIPTION	UNIT PRICE	AMOUNT
35	pack	1st class		
6	pack	3rd class		

Validated by: Carmae Deligero 3/9/23

VERIFIED BY: Ayat Basir

RECEIVED BY: Dayao

ORIGINAL COPY: ACCOUNTING PINK COPY: INVENTORY BLUE COPY: FILE

SAMPLE

Parties expressly submit themselves to the jurisdiction of the courts of Davao City on any legal action that may arise out of this transaction.

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INV 170230

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ENTERPRISES, INC.

Authorized Signature

Pay-esa 02-3-23

Customer's Signature

SAMPLE